

Size of Earnings

Size of Earnings refers to our company's profits in a given quarter or fiscal year (1st April 2021 to 31st March 2022).

For example say,



Earns an annual profit of 100 crores.



Earns an annual profit of 200 crores.

So , here we can say that Infosys has larger size of earnings as compared to Wipro.

Companies can Increase the size of earnings by

Increasing Volume of Goods Sold

The first way to increase the size of earnings is by increasing the volume of goods sold.

 x ₹10 = ₹1000

Price per unit

 x ₹10 = ₹1500

Price per unit

Increase in earnings

For example, Cadbury sold 100 units of a product for Rs 10 each, and now they aim to sell say around 150 units of the same product at the same price. This will result in an increase in sales as well as profits.

Increasing Price of Goods Sold

Another alternative to increase earnings is by raising the price of the product/services offered. However, not every company can do that unless it has a advantageous market presence like Nestle, Cadbury etc.

 x ₹10 = ₹1000

Price per unit

 x ₹11 = ₹1100

Price per unit

Increase in earnings

For Instance: Maggie sells 1000 units of Product A at a price of Rs 110 instead of Rs 100 each. This 10% increase in price will reflect in the earnings of company as well.